

3.3 Validation by Technical Analysis

Once you've identified your leading industry through RRG, use the timing technique:

- **If XLK rises stronger than SPY = XLK is leading.**
- **Sector ETF breaks above resistance with large volume = entry signal.**
- **Sector ETF above MA 50 and MA 200 = bullish trend confirmation.**
- **Check the % of stocks in the industry above the MA 50 — if > 60% = healthy industry.**